traffic, it was not possible to maintain ourselves'.[123] The government's mail contract also gave BI a big advantage.

Enjoying a monopoly on the Tuticorin–Colombo route until then, BI was understandably resentful of the Swadeshi challenge. BI hit back hard realizing that SSNCo was giving stiff competition. With its deep pockets, it launched an all-out rate war. In those days of laissez faire, companies happily indulged in unfair trade practices with neither legal restrictions nor moral qualms to hold them back. The rate war had begun as early as June 1906, i.e. within weeks of the plying of the chartered Swadeshi steamers. Finding that the locals would choose the Swadeshi steamers for both freight and passage, BI had cut the charges by half, though 'even this climb down had not the desired effect and the European firm suffered heavy loss'.[124] 'The rates both for cargo and passengers were considerably reduced and various other inducements also seem to have been offered [by BI] to the merchants to make them ship by their line.'[125] This understated description in the annual report of SSNCo masked a brutal rate war that contributed in good measure to strangle the infant Swadeshi company.

With the arrival of SSNCo's own steamers, BI and its Tuticorin agents renewed the rate war. In response, in May 1907, SSNCo reduced the third-class deck passengers fare from Rs 3-5-0 to Rs 2. While the Swadeshi company issued tickets in its own office, BI did so from the jetty. Apart from this advantage, BI also paid a commission of 3 annas per passenger to the touts. If this continued, the local police inspector feared, the Swadeshi company would do the same, causing 'a breach of the peace'—a headache that local British administrators always feared, and tried to avoid. The joint magistrate, therefore, apart from raising the matter with BI's Newton, instructed the town inspector not to leave the town without his permission. The port officer for his part, asked for two extra constables to be stationed at the time of arrival and departure of ships, a request gladly acceded to by the district administration. The situation was such that the district collector himself wanted to come from his headquarters in Tirunelveli 'to hear both sides of the question' and take steps to avert trouble.[126] But the